

cents to \$1.35 with their own money.* Before the best year 1968, the company's maximum earnings had been a ridiculous 7 cents per share. There were ambitious plans for the future, of course—but the public was being asked to pay heavily in advance for the hoped-for realization of these plans.

2. Nonetheless, the price of the stock doubled soon after original issuance, and any one of the brokerage-house clients could have gotten out at a handsome profit. Did this fact alter the flotation, or did the advance possibility that it might happen exonerate the original distributors of the issue from responsibility for this public offering and its later sequel? Not an easy question to answer, but it deserves careful consideration by Wall Street and the government regulatory agencies.†

Subsequent History

With its enlarged capital AAA Enterprises went into two additional businesses. In 1969 it opened a chain of retail carpet stores, and it acquired a plant that manufactured mobile homes. The results reported for the first nine months were not exactly brilliant, but they were a little better than the year before—22 cents a share against 14 cents. What happened in the next months was literally incredible. The company lost \$4,365,000, or \$1.49 per share. This consumed all its capital before the financing, plus the entire \$2,400,000 received on the sale of stock plus two-thirds of the amount reported as earned in the first nine months of 1969. There was left a pathetic \$242,000, or 8 cents per share, of capital for the public shareholders who had paid \$13 for the new offering only seven months before. Nonetheless the shares closed the year 1969 at 8 1/8 bid, or a “valuation” of more than \$25 million for the company.

FURTHER COMMENT: 1. It is too much to believe that the company had actually earned \$686,000 from January to September 1969 and then lost \$4,365,000 in the next three months. There was something sadly, badly, and accusingly wrong about the September 30 report.

2. The year's closing price of 8 1/8 bid was even more of a demonstration of the complete heedlessness of stock-market prices than were the original offering price of 13 or the subsequent “hot-issue” advance